NovaCloud Analytics Inc.

Quarterly Business Review | B2B SaaS – Analytics & Observability

Period: Q3 2024

NovaCloud Analytics Inc. ("NovaCloud") provides cloud-native analytics and observability tooling to mid-market and enterprise digital businesses.

Financial & Operating Summary

Metric	Q3 2024
Recognized Revenue (USD)	$6.5M
End-of-Period ARR	$26.8M
Gross Margin	75%
Net Dollar Retention (LTM)	117%
Logo Churn Rate (LTM)	7.2%
Cash Balance	$26.6M
Monthly Net Burn	($0.95M)
Cash Runway	~28 months
Total Headcount	120

Recognized Revenue of $6.5M in Q3 2024 was up 12% quarter-over-quarter, driven by a combination of new logo additions (10 in the quarter) and expansion within the existing customer base. Expansion revenue totalled $1.1M. Cloud infrastructure costs improved to approximately 26% of revenue as workload optimisation efforts continued.

Business Commentary

NovaCloud's go-to-market team maintained a selective approach to new logo pursuit, focusing sales capacity on accounts with ACV potential above $80k. The company continued to see healthy inbound demand from the e-commerce vertical. Management did not provide a formal pipeline update for Q3 2024 given the mid-year sales restructuring; a refreshed pipeline review is expected to resume with Q4 reporting.

Key Risks

• Sales restructuring may delay Q4 pipeline build and near-term new logo additions.

• Customer concentration risk persists; top 10 accounts ~30% of ARR.

• Macro headwinds in digital commerce sector affecting some customer budget cycles.

(1) Recognized Revenue is reported under ASC 606 on a ratable basis.

(2) Net Dollar Retention and Logo Churn are on a last-twelve-months (LTM) basis.

(3) Pipeline data not included this quarter; see commentary above.